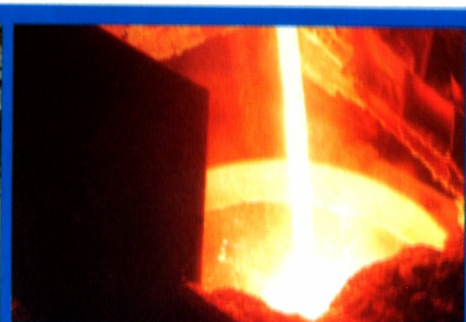




Your Company has formed a Joint Venture Company NMDC-CMDC Ltd with CMDC Ltd to develop Bailadila Deposit-13 as a stand alone project of 10 MTPA. Necessary clearances to execute the project are in the pipeline.

As you are aware, NMDC plans to set up a 3.0 MTPA Integrated Steel Plant (ISP) at Nagarnar, Chhattisgarh. In this regard, MoU has been signed between Govt. of Chhattisgarh and NMDC on 3.9.08. Action is on hand for speedy completion of the ISP.

Apart from the Steel Plant, NMDC also plans to set up two Pellet Plants: One at Bachel with a 2 MTPA capacity and one at Donimalai with 1.2 MTPA capacity.

Merger of Sponge Iron India Ltd with NMDC is in advanced stage of completion. Upon merger, the Company is contemplating to expand the capacity of the plant at Paloncha, A.P from the current level of 60,000 tonnes per annum to 2,60,000 tonnes per annum. The sponge iron produced will be used to make steel.

I am happy to inform that in view of Hon'ble Supreme Court judgment, Madhya Pradesh State Authorities issued formal orders for re-starting the mining activities at Panna diamond mines. After being closed for 4 years, the re-opening of the mines has been done by Hon'ble Union Minister for Steel in the presence of Union Minister of State for Steel on 21-08-2009.

In the current economic scenario, India needs energy and fertilizers at a much higher level than it has now. Keeping this in mind, your Company is consciously planning to venture into coal sector. Your Company is one of the partners in the formation of a new Company by the name of International Coal Ventures Limited (ICVL). The acquisition of the coal properties in target countries such as Australia, Mozambique, Canada, Indonesia and USA are being pursued. Your Company has already signed a MoU with West Bengal Mineral Development and Trading Corporation Limited to develop 2 billion tonne coal blocks in N/B. Efforts are being made to acquire more coal blocks. Your Company is also trying to expand into power.

Your Company has already tied up with Rashtriya Chemicals and Fertilizers for acquiring Rock phosphate mines abroad. An MoU has been signed with M/s. Kopano RE Minerals Investments (PTY) Ltd of South Africa for exploring and exploiting the mineral resources in the Republic of South Africa.

All the production plans of your Company, be it up-gradation of mines, development of new mines, setting up of Steel plant and pellet plants, new R&D projects, will be carried forward with utmost sincerity and speed.

Corporate Social Responsibility

As a socially conscious corporate citizen, your Company is in the forefront in various CSR initiatives. NMDC believes that the well being of the society at large is an essential pre-requisite for the progress of its business and prosperity of the organization. With 'People at heart' in its philosophy and approach to CSR, NMDC is seeking to carry out meaningful work in the fields of Education, Health care,

sustainable income generation and agricultural development, thus contributing to the nation building. CSR activities are mentioned in detail in the Directors' Report.

Corporate Governance

A separate section on Corporate Governance forms part of the Directors' Report.

Environment Management

Your Company is conscious about environment management. The four major production projects, Bailadila Dep-14/11C, Dep-5, Donimalai and Diamond Project, Panna have been accredited with ISO 14001:2004 EMS by M/s DNV.

Road Ahead

The distinct vision of the Company is to mould itself into a very large multi-faceted organization with mining being its core activity. NMDC would exist as a huge solar system which would radiate affluence, generate wealth and bring in prosperity in the lives of people who work for it. I recognize that the challenges could be enormous, but at NMDC, we believe in looking up to each summit with the will to get there. Your Company may face difficulties in the current financial year also, because the situation in the global economy continues to be volatile, which would demand more proactive efforts to realize the ambitious targets that have been set. I am sure, all of us would stand up to the situation and accept this as a challenge and be determined to meet the same.

Acknowledgement

To conclude, I acknowledge that all these achievements have been possible only due to relentless and dedicated efforts, made by the employees of the Company. I sincerely appreciate the valuable contribution and cooperation extended by our employees to tide over the difficulties that the global crisis had thrust upon us.

On behalf of the shareholders and management of the Company, I thank the Government of India, Ministry of Steel for the confidence and trust bestowed upon your Company and the opportunity given for its continued growth and expansion. I sincerely assure you that the Company will grow manifold in the time to come.

Thank you and Jai Hind!

Place: Hyderabad
Date: 29.08.2009


Rana Som
Chairman cum Managing Director



NMDC Limited

(A Government of India Enterprise)

Registered Office: "Khand Bhawan"

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